Intelligent Investing

# ET Prime Special Series: Multibagger or IBC - Part 71: This small-cap auto supplier is trying to become a consumer brand again



**Synopsis**

The most interesting part of this old auto story is not nostalgia. It is how the company, after leaving the consumer vehicle market, has rebuilt itself as an auto-component business that today serves domestic and overseas customers. That base is now being used to support a fresh EV push. But the transition has made the in Not every capability within the wider EV ecosystem is owned by the listed company in th earnings were helped by non-operating income. The comeback to the B2C business has be still being tested.

For an entire generation, two words and a jingle were enough to summon a whole machine – light, simple, cheap, and the first vehicle most of them ever owned. Then it quietly disappeared from the roads.

But the company that made it did not disappear. It did something unusual instead. It stepped out of selling vehicles altogether and moved behind them, making the parts that go inside other people's cars, trucks and tractors. For years, that is what it quietly

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did.

Now, decades later, it is trying to reverse the journey. From vehicles, to components, and back to vehicles again — this time with an electric scooter, without giving up the parts business that pays the bills.

"Chal Meri Luna." For an entire generation, those three words were enough to bring back a machine, a jingle, and a memory. The Luna was simple, light, and practical. The company behind this story is **Kinetic Engineering Limited**, or KEL.

## But first... about our headline

**Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.**

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.*

***For previous stories in this AA Series, kindly click on the respective links*** -Intro, 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, 40, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66, 67, 68, 69, 70

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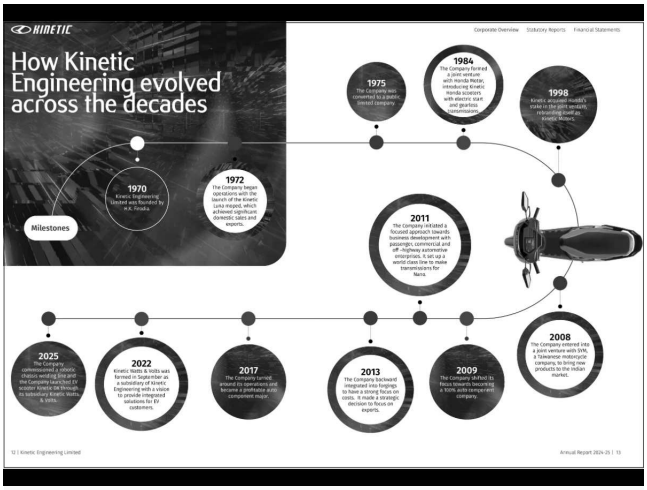
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## Disappeared From Showrooms, Not Auto Industry

That name Kinetic Engineering Limited can mean very different things, depending on the age of the reader. For one generation, Kinetic was a vehicle brand. For another, it is a small-cap listed auto-component manufacturer. Management is now trying to connect those two identities.




*Source: Annual Report FY25*

**Kinetic Engineering** traces its foundation to 1970. Operations began around 1972 with the Kinetic Luna. The annual report notes that its early product brief was to develop a machine made entirely in India using Indian machinery, a weight of less than 50 kg, and a target price of no more than Rs. 2,000. All this with an initial capital of Rs. 15 lakh.

By the 1980s, the company's website says, the plant was capable of making 2,000 Lunas a day. Its history then moved through scooters, motorcycles, and JVs. Company material refers to Kinetic Honda, products built with Hyosung and SYM.

In 1984, Kinetic formed a JV with Honda Motor introducing scooters with electric start and gearless transmission. In 1998, Kinetic acquired Honda's stake and the business was rebranded as Kinetic Motors.

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*Source: Investor Presentation Q4 & FY26*

The annual-report timeline says the business shifted its focus to becoming a fully auto-component company around 2009. By 2011, it was developing a component business with passenger, commercial, and off-highway customers. In 2013, it added forgings to control cost and moved further towards exports. By 2017, it described the business as having turned profitable again.

As of FY25, management says customers associated for three years or more contributed 90% revenue, while exports contributed 31%. That is the first important point.

Kinetic's first reinvention was from a consumer vehicle maker into a supplier. Its second reinvention is now trying to take it from the supplier back towards vehicles, without giving up components.

The listed entity today describes itself around three operating verticals: Transmission, driveline, and EV components.

The old manufacturing knowledge did not disappea when Kinetic stopped being a major vehicle OEM. I simply moved behind the vehicle. That is why the company now believes it can come back to the front

Its chairman has described the move from components back towards complete **EVs** as a logica extension of existing capabilities, with internal supply potentially giving better control over cost an

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quality.

The Firodia family is also central to this history. According to Kinetic Engineering, founder H.K. Firodia worked with his brother to start and operate automobile businesses including **Bajaj Auto**, in partnership with the Bajaj family. The company also credits him with playing a role in **Force Motors** and Kinetic Honda. Today, Kinetic Engineering is led by Arun Firodia as chairman and Ajinkya Firodia as vice-chairman and managing director.

The short history is useful as it speaks of legacy, expertise, and experience. But history does not produce current cash flows. For that, we have to go inside the factory.

**Old Business: Still Paying Bills**

Kinetic Engineering's manufacturing operation is spread over more than 50 acres at Ahmednagar. The investor presentation describes 32-plus production sheds, more than 460 machines, and over 1,000 people at the factory. Understanding the products is important because a list of terms such as planet gear, yoke, or transaxle tells a retail investor very little.

**Transmission vertical:** Kinetic's transmission vertical is broader than just gearboxes. It includes planet gears and transmission assemblies, sun shafts and shifter sleeves, as well as broached parts such as the disk brake tow hub, and knuckle assembly.




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*Source: Investor Presentation Q4 & FY26*

**Transmission** is effectively the translator between the power source and the wheels. An engine or motor produces rotational power. The transmission passes this power towards the wheels while using gear ratios to change the balance between speed and pulling force, or torque, depending on what the vehicle needs.

Think of bicycle gears. A lower gear helps you climb with more pulling force, while a higher gear helps you travel faster. A geared vehicle transmission works on the same basic principle, although the actual system is far more complex and precise.

**Planet gear** is part of a compact gear system where several gears work around a central gear. It lets engineers change speed and torque within a relatively small space. **Sun shaft** carries rotation through this gear arrangement.

**Shifter sleeve** helps engage different gear positions. In simple terms, it is the mechanical collar that helps the system select which gear path should carry power. **Broaching**, meanwhile, is a precision-machining process used to create accurately shaped surfaces, slots, or splines in components. Kinetic uses this capability for its broached parts and knuckle assemblies.

The transmission vertical contributed about 48.7% o revenue in FY26, compared with 51% in FY25 and 49% in FY24. So, despite all the discussion around EVs, this remains the largest existing revenue bucket.

**Driveline Vertical:** It carries power from the transmission towards the wheels. Kinetic's key products here include spline yokes and stub shafts.

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*Source: Investor Presentation Q4 & FY26*

**Spline yoke** is a part of the driveline that helps connect rotating parts and transfer power through them. Think of it like a connector between two rotating parts. It helps the power keep moving towards the wheels even when the connected parts are not perfectly in one straight line.

**Stub shaft** is simply a short shaft used inside the driveline. It connects with other parts and helps carry rotational power, or torque, through the system.

The driveline vertical contributed about 32.7% of revenue in FY26, compared with 34% in FY25 and 37% in FY24. That does not automatically mean the business is weakening. It partly reflects other categories growing faster.



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*Source: Investor Presentation Q4 & FY26*

**Electric vehicle components vertical** went the other way: 5% in FY24, 8% in FY25 and 9.4% in FY26. The products here are rigid axles, trans-axles, chassis and body parts, and two-wheeler gearbox assemblies.

A **trans-axle** combines the reduction gearing and the differential into a single unit sitting between the motor and the wheels. Electric motors spin far faster than wheels need to, so almost every EV still needs a single-speed reduction. A **rigid axle** is exactly what it sounds like, a solid beam carrying both wheels, used widely in small commercial three-wheelers.

That tells us something useful. The electric story is not only the new scooter subsidiary. Parts of Kinetic Engineering's existing B2B business are also moving with the transition.

**Electrification & the Portfolio**

This is where the story gets more interesting than the usual EV panic. Transmission products face real long-term risk in battery electric passenger cars and two-wheelers, because a battery EV typically does not need a multi-speed gearbox at all. That is roughly half of revenue sitting in the exposed bucket.

But the exposure is softened by where those gears actually go. Ashok Leyland uses the transmission assemblies in buses and heavy trucks. Mahindra an Sonalika use them in tractors. Carraro uses them in off-highway and agricultural equipment. These are the vehicle categories that electrify last, and slowes

Driveline products are largely technology-neutral. A propeller shaft, spline yoke, and stub shaft still exis in an electric commercial vehicle, because torque still has to travel from a rotating source to an axle. Knuckle assemblies, chassis frames and forged axle are similarly indifferent to what is producing the power.

The genuine new opportunity is the EV bucket, and it is real but small. At 9.4% of a roughly Rs. 150 crore business, EV components are contributing

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something in the region of Rs. 14 crore a year.

**Customer Base**

Kinetic shows international customers or relationships including American Axle, BRP, Renault, Navistar, TOMOS, Magna and Nissan. Domestic names shown include **Tata Motors**, Mahindra & Mahindra, Force Motors, Piaggio, Ashok Leyland, Carraro, Eblu, and Sonalika.




*Source: Investor Presentation Q4 & FY26*

This is an important part of the component thesis. Kinetic's component business does not depend on the success of its own electric scooters. It already supplies parts to other vehicle manufacturers. It has a B2B customer base across passenger vehicles, commercial vehicles, tractors, etc.

But customer stickiness has another side. The company's own opportunities-and-threats disclosure explicitly identifies dependence on a few key customers as a risk because order changes can affect pricing and revenue.

It also identifies steel and aluminium prices, labour cost, shortage of skilled manpower, rapid drivetrain technology changes, and slower EV adoption in rural and smaller commercial markets as risks.

The opportunity list is almost the mirror image: Greater EV demand, ageing fleets and aftermarket

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needs, exports, PLI-linked opportunities, automation, robotics, CNC, and Industry 4.0.

**The Export Layer**

The FY26 geographical sales chart shows roughly 67% of sales from India, 28% from Mexico, and 4% from the US. FY25 showed roughly 66% India, 29% Mexico, and 5% US.



*Source: Investor Presentation Q4 & FY26*

That makes Kinetic more than a domestic EV proxy. It also means the transition does not happen overnight. ICE vehicles, commercial vehicles, tractors and export platforms can keep generating demand even as electric mobility grows.

**EV Loop: Bigger Than Listed Company**

The **EV ecosystem** spans multiple Kinetic Group entities that work together across components, batteries, electronics and vehicles.

However, these businesses do not all sit within Kinetic Engineering in the same way or with the same ownership interest. So the capabilities of the wider Kinetic Group should not automatically be treated as businesses fully owned by Kinetic Engineering's shareholders.

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*Source: Investor Presentation Q4 & FY26*

**Kinetic Engineering's** products have already been discussed above. **Kinetic Communications** develops electrical systems such as BLDC hub and frame-mounted motors, motor controllers, touchscreen clusters, DC-DC converters, and battery chargers.

The investor presentation describes Kinetic Communications as a group company in which the relevant KEL equity shown is only 0.3%. That is a major distinction. Access to technology through a group relationship can be strategically useful. But a 0.3% holding does not make the economics of that business equivalent to a wholly-owned KEL operation.

**Micro Age Instruments Pvt Ltd** has shifted towards EV battery manufacturing under the Range X brand. The Range-X unit has a disclosed annual capacity of 60,000 battery packs. The company mentions it is designed to manufacture both LFP and NMC packs.

It holds around 25% in Kinetic Engineering. That means investors should not simply add the battery operation to KEL's consolidated revenue opportunity.

The direct listed-company linkage is strongest through the entity named **Kinetic Watts & Volts Limited**, or KWV.

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*Source: Investor Presentation Q4 & FY26*

KWV was incorporated in September 2022 as the electric-vehicle subsidiary. Its job is to design, develop and manufacture within the group's EV supply chain.

The FY25 AOC-1 is particularly useful. As of March 31, 2025, KWV had not yet reported turnover and made a loss of about Rs. 0.51 crore for the year. At FY25-end, this was still primarily an investment project, not a meaningful revenue engine.

**Consumer Comeback**

The new Kinetic electric scooter was launched in July 2025. The launch is important because it changes Kinetic Engineering's business model. For years, KEL sold largely to other companies.



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*Source: Investor Presentation Q4 & FY26*

KWV brings the group back into a business where the final customer chooses the brand. That means the company now needs retail distribution, marketing, financing, after-sales service, technology support, and consumer trust in addition to manufacturing.

The product itself uses a 2.6 kWh Range-X LFP battery. The company claims up to 116 km IDC range for the higher variant and a 4x longer lifecycle as compared to NMC batteries.

The larger point is not whether one feature is better than another. It is that Kinetic is deliberately trying to use vertical integration as its differentiator.

**Manufacturing Ecosystem is Only Half the Job**

KWV operates from an 87,000 sq ft facility. But the vehicle business has to build things that the component business never needed. It has to finance customers. It has to sell to customers. It has to service customers. And increasingly, it has to keep the vehicle connected after it leaves the showroom.

Kinetic has started building those pieces. Its December 2025 disclosure announced a partnership with Jio Things covering voice assistance, digital instrument clusters, infotainment, telematics and cloud-based fleet analytics.

In January 2026, KWV announced retail-finance arrangements with Hero FinCorp, Bajaj Finserv and CleverPe, allowing financing to be offered at Kinetic dealerships.

It has also started building the after-sales side. The Kinetic Lab image shows a dedicated EV technical-training centre for technicians, service engineers and dealer staff.

**What has happened after launch?** In November 2025, management targeted 5,000 cumulative units by March 2026, equivalent to around Rs. 50 crore of revenue, followed by at least 60,000 units in FY27, with a Rs. 600 crore top-line target for KWV. It also

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targeted 200 dealerships in FY27.



*Source: Exchange Communication*

That was the aspiration. The February 3, 2026 disclosure provides a reality check. Kinetic said it had crossed 600 EV sales, with seven dealerships operating and another eight scheduled to open by February-end.

That is exactly the type of milestone investors should track instead of relying on longer-term targets. Nonetheless, the EV project is no longer only an investor-presentation idea. Product, plant, dealers, finance, service, connected technology, initial sales all exist. Scale is the unresolved variable.

**Capital & Returns**

This is where the investment story becomes more interesting. FY25 consolidated revenue from operations was Rs. 141.73 crore, compared with Rs. 143.17 crore in FY24. Sale of products contributed about Rs.141.20 crore. That means the operating topline was broadly stagnant.

At the same time, other income increased from about Rs. 9.04 crore to Rs. 12.81 crore. Most importantly, Rs. 10.29 crore of FY25 other income came from profit on sale of assets, compared with Rs. 7.06 crore in FY24.

So investors should be careful when looking only at

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the improvement in net profit. The company's own ratio note says the net profit ratio improved because of the increase in other income. That is, however, not the same as saying the underlying operating business is becoming more profitable.

**Lighter on Debt**

There is clear improvement on leverage. The FY25 debt-equity ratio fell to 0.19 times from 0.37 times. The current ratio improved to 1.83 times from 1.26 times.



*Source: Annual Report FY25*

Management attributes the better current ratio to better efficiency, performance and higher bank balances following convertible warrants and equity issuance.

The lower debt-equity ratio reflects equity issuance, repayment of term loans and profitability. RoE dropped from 11.07% to 6.86% and RoCE from 7.10% to 4.89%.

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*Source: Annual Report FY25*

The company explains the decline in RoE and RoCE largely through the increase in equity. That explanation is mathematically reasonable. But for shareholders, the test does not end there.

If a company raises equity and uses it to fund a new growth cycle, returns can fall initially. Eventually, however, the new assets need to produce enough profits to rebuild those returns. That is the actual test facing Kinetic.

**Visible Transition**

Kinetic's consolidated capital work-in-progress (CWIP) jumped from about Rs. 4.72 crore in FY24 to Rs. 35.76 crore in FY25. The largest item was product development at about Rs. 24.25 crore, which represents roughly two-thirds of total CWIP. Another Rs. 9.83 crore related to the EPC solar project.

Smaller amounts are related to ERP implementation, site development, office renovation, and plant and machinery.

There were no projects shown as temporarily suspended, and none of the disclosed CWIP was more than three years old.

This is probably the cleanest accounting picture of the strategy shift. Capital is leaving the discussion stage and entering the balance sheet.

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**Promoter-backed Strategy**

Promoter ownership is one of the clearer changes in the Kinetic story. The yearly shareholding of promoter ownership was 44.81% in March 2017 which increased gradually to 61.52% in March 2025 and 65.04% by March 2026, remaining at that level in June 2026.

The June 2026 shows FIIs at 3.23%, DIIs at 0.69%, public ownership at 31.03% and 21,957 shareholders.



*Source: Annual Report FY25*

The point is not that promoter buying automatically creates value. It is that promoters are increasingly financially exposed to the outcome of the transformation.

The funding programme makes that even clearer. In March 2025, Kinetic disclosed approval warrants representing Rs. 177 crore of investment. Funds were intended for capex, tooling, KEL growth, and KWV growth.

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*Source: Investor Presentation Q4 & FY26*

The later investor-presentation image describes the promoter warrant size as about Rs. 160 crore, at an issue price of Rs. 171 per warrant.

Those numbers need not contradict each other. The Rs. 177 crore press release refers to the overall warrant programme and explicitly says other investors were participating. The Rs. 160 crore slide appears to refer specifically to promoter capital.

By March 2026, Kinetic announced a further Rs. 40 crore promoter infusion through warrant conversion.

So the capital structure is doing three things at once. Debt is being reduced; equity is being raised; and that equity is being redeployed.

The main question has shifted from survival risk to return on fresh capital. The business now has to make the operating numbers catch up with the story.

**Targets & Execution**

Kinetic is not presenting this as a small incremental expansion. Its FY30 roadmap talks about:

- Rs. 1,000 crore in revenue.
- An 8-10x increase in consolidated revenue.
- An 8% share of the electric two-wheeler market.

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- Larger export orders.
- Establishing presence in international markets.
- Continued EV-component growth.
- And a larger vehicle-manufacturing business.



*Source: Annual Report FY25*

These are ambitions, not current earnings. That distinction matters because the base remains small. So the future story is not replacing the old business. It is being built on top of it.

But it also means investors need to watch whether management begins starving the core business of capital or attention.

So far, the strategy appears to be the opposite. KEL has added robotic chassis welding, revamped its paint shop, added metal pressing, and continued discussions for new B2B orders. The November 202 release says it was already making chassis for the E-Luna and the Kinetic DX EV.

The broader production strategy is also becoming more automated. Management has spoken about automatic nylon spray coating for driveline parts and robotic welding, while describing the existing 50-acre campus as large enough to expand capacity materially without relocating.

That is useful because growth without a completely new site can reduce the capital intensity of expansion. But it does not remove execution risk.

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## R&D: Holding Steady

Kinetic Engineering's standalone R&D spending has remained fairly steady in recent years. It spent Rs. 2 crore in FY25, compared with Rs. 2.06 crore in FY24, Rs. 1.85 crore in FY22, and Rs. 1.73 crore in FY21. As a share of turnover, R&D stood at 1.42% in FY25, broadly similar to 1.44% in FY24, and 1.52% in FY22.

Another point is that recent R&D spending is almost entirely recurring expenditure rather than capital expenditure. This suggests the spending is being incurred through ongoing development activities rather than large R&D assets being created on the balance sheet.

### Kinetic Engineering Ltd - Research and Development

Amounts in INR Crores, unless stated otherwise

| DESCRIPTION | FY25 | FY24 | FY23 | FY22 | FY21 | F |
|---|---|---|---|---|---|---|
| Capital Expenditures | | | | | | |
| Recurring Expenditures | 2.00 | 2.06 | | 1.85 | 1.73 | |
| Total | 2.00 | 2.06 | | 1.85 | 1.73 | |
| % of Turnover | 1.42 | 1.44 | | 1.52 | 2.12 | |

## Dividend & Earnings

EPS tells us how much profit belongs to each share, while DPS tells us how much of that profit was distributed as dividend.

The long history shows how difficult Kinetic Engineering's earlier phase was. Adjusted EPS was negative in each year from FY16 to FY21, reaching losses of Rs. 7.78 per share in FY17 and Rs. 5.15 in FY20. It turned positive at Rs. 0.73 in FY22 and has since risen to Rs. 1.55 in FY23, Rs. 2.35 in FY24 and R 2.74 in FY25.

But the recent EPS improvement needs some qualification. FY25 PAT increased even though sales did not. The company's own ratio disclosure says its net profit ratio improved because of higher other income.

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On dividends, the pattern is simpler. No DPS is shown in any year.

Given the long period of losses, negative net worth in some years and the subsequent need to rebuild the balance sheet and invest again, the pattern is consistent with capital being retained rather than distributed.

**Finally, the Financials**

Financial analysis is important in the fundamental analysis of an auto ancillary company because revenue growth alone does not tell whether the business is actually becoming stronger.

Investors also need to see whether the company is making sustainable profits, converting those profits into cash, managing debt and working capital, and earning adequate returns on the capital invested in plants, machinery and new products.

The most important recent trend is that profit has recovered much faster than revenue.

Gross sales were Rs. 135.38 crore in FY23, increased to Rs. 143.17 crore in FY24, and then slipped slightly to Rs. 141.73 crore in FY25. In other words, revenue was broadly flat over FY24-FY25.

PAT moved very differently. It increased from Rs. 3.09 crore in FY23 to Rs. 5.15 crore in FY24, and Rs. 6.23 crore in FY25. Over two years, PAT roughly doubled while sales increased by only about 5%.

At first sight that looks like a strong profit improvement. But FY25 needs to be read carefully a the financial statements show that other income included a Rs. 10.29 crore profit on sale of assets.

So the safest conclusion is that reported profitabilit improved, but FY25 PAT was supported by non-operating income and should not be treated as a clean measure of underlying operating growth.

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## Kinetic Engineering Ltd - Income Statement

Amounts in INR Crores

| | Consolidated | | | | |
|---|---|---|---|---|---|
| **Description** | **FY25** | **FY24** | **FY23** | **FY22** | **FY21** |
| Gross Sales | 141.73 | 143.17 | 135.38 | 121.56 | 83.87 |
| Total Income | 155.27 | 152.97 | 138.93 | 125.22 | 87.03 |
| Total Expenditure | 137.45 | 135.92 | 122.98 | 110.79 | 80.04 |
| Gross Profit | 78.89 | 80.91 | 80.17 | 75.22 | 51.30 |
| PAT | 6.23 | 5.15 | 3.09 | 1.36 | -6.23 |
| Cash Profit | 12.91 | 11.60 | 9.57 | 7.83 | 0.55 |

Kinetic's net worth was negative Rs. 11.92 crore in FY21 and negative Rs. 6.90 crore in FY22. It improved to Rs. 9.05 crore in FY23, Rs. 39.20 crore in FY24, and Rs. 66.39 crore in FY25. The total debt rose from Rs. 37.44 crore in FY24, to Rs.61.43 crore in FY25.

## Kinetic Engineering Ltd - Sources of Funds

Amounts in INR Crores

| | Consolidated | | | | | |
|---|---|---|---|---|---|---|
| **Description** | **FY25** | **FY24** | **FY23** | **FY22** | **FY21** | |
| Equity Paid Up | 23.41 | 22.16 | 19.88 | 18.70 | 17.71 | |
| Reserves and Surplus | 42.98 | 17.04 | -10.83 | -25.60 | -29.63 | -: |
| Net Worth | 66.39 | 39.20 | 9.05 | -6.90 | -11.92 | |
| Total Debt | 61.43 | 37.44 | 56.53 | 71.38 | 68.28 | |
| Capital Employed | 164.53 | 97.24 | 85.21 | 84.12 | 75.99 | |

Where did that larger capital base go? Total assets increased from Rs. 175.94 crore in FY24 to Rs. 236.64 crore in FY25, an increase of about Rs. 60.7 crore. Ye gross block was almost unchanged at Rs. 256.89 crore versus Rs. 256.13 crore.

Instead, two other line items changed dramatically. Cash and bank balances increased from Rs. 9.68 crore to Rs.37.80 crore, a rise of about Rs. 28.1 crore. At the same time, consolidated CWIP increased from Rs. 4.72 crore to Rs. 35.76 crore, a rise of about Rs. 31 crore.

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## Kinetic Engineering Ltd - Application of Funds

Amounts in INR Crores

| | Consolidated | | | | |
|---|---|---|---|---|---|
| **Description** | **FY25** | **FY24** | **FY23** | **FY22** | **FY21** |
| Gross Block | 256.89 | 256.13 | 250.85 | 248.31 | 245.93 |
| Investments | 3.85 | 8.86 | 4.69 | 4.61 | 5.60 |
| Cash and Bank balance | 37.80 | 9.68 | 2.92 | 0.28 | 0.27 |
| Net Current Assets | 61.06 | 19.33 | -10.24 | -12.08 | -20.89 |
| Total Current Liabilities | 73.80 | 75.35 | 91.49 | 83.38 | 82.45 |
| Total Assets | 236.64 | 175.94 | 156.89 | 149.69 | 145.00 |

FY25 PAT was Rs. 6.23 crore. But cash flow from operations was negative Rs. 21.56 crore. That compares with positive operating cash flow of Rs. 11.26 crore in FY24 and Rs. 14.55 crore in FY23.

The gap between profit and operating cash flow in FY25 was therefore almost Rs. 28 crore. For a business entering another investment phase, this deserves more attention than the reported increase in PAT.

There is an even broader historical point. Operating cash flow has been uneven for years. It was negative in FY11-FY13, positive in several later years, negative again in FY15-FY16, and then mostly positive from FY17 to FY24.

So the next stage of the turnaround should not be judged only by whether PAT keeps growing. It should also be judged by whether Kinetic can turn those profits into operating cash consistently.

## Kinetic Engineering Ltd - Cash flow from operations

Amounts in INR Crores

| | Consolidated | | | | | |
|---|---|---|---|---|---|---|
| **Description** | **FY25** | **FY24** | **FY23** | **FY22** | **FY21** | **F** |
| Cash Flow from Operations | -21.56 | 11.26 | 14.55 | 1.55 | 0.71 | |

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Answer required

- Glued to charts during market hours
- Checking prices between office meetings
- Looking for a 15-min daily routine

## Kinetic Engineering Ltd - Key Data Points

| | Consolidated | | | | |
|---|---|---|---|---|---|
| **Description** | **FY25** | **FY24** | **FY23** | **FY22** | **FY2** |
| ROCE (%) | 8.50 | 11.63 | 7.15 | 9.95 | 0.2 |
| Market Capitalization (INR Cr) | 415.08 | 353.48 | 179.11 | 158.23 | 70.9 |
| Equity Dividend (%) | - | - | - | - | |
| Dividend Yield (%) | - | - | - | - | |
| Adjusted PE (x) | 64.65 | 67.88 | 58.02 | 116.32 | |

## Kinetic Engineering Ltd - Stock Performance

Amounts in INR, unless stated otherwise

| Date | Open | High | Low | Close |
|---|---|---|---|---|
| August 12, 2026 | 242.65 | 244.75 | 236.50 | 241.35 |
| January 3, 2000 | 88.00 | 91.50 | 88.00 | 91.50 |

### Verdict: 2 Companies, 1 Ticker

Kinetic Engineering has already shown that an old vehicle business can reinvent itself as a component supplier. The second reinvention is more ambitious because it is putting Kinetic back in front of the consumer while the B2B business continues.

The balance sheet looks safer and promoter commitment is visible. But the capital being invested now needs to lift operating revenue and returns. The multibagger case needs execution. The bankruptcy side looks much less immediate.

### Methodology

*For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.*

*If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a*

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*threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?*

*Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.*

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